

How DeepSeek Suddenly Became Everybody's Business

We come across innovations every day, but disruptions are hard to come by. Is this one?



Everybody started talking about DeepSeek one fine day—from investors and tech champions to company heads and political leaders! They either love its potential to shake up the artificial intelligence (AI) industry or hate what it is doing to their earlier investments. What is your take on it—love or hate? We lay out the facts so you can decide for yourself.

Necessity is the mother of invention

People once thought only students from premier educational institutions could crack the Joint Engineering Entrance (JEE) examination. Then came the so-called 'Kota Factory'. Has it ever

occurred to you that the standout factor of the Kota model is perhaps not the intensive study materials or relentless testing but that many professors break the language barrier and teach science and mathematics in Hinglish, taking it to a broader number of aspirants?

Well, DeepSeek's success can be understood along these lines. It was the outcome of a techie cum investor trying to tide over the embargoes that the US government kept imposing on the export of high-end chips to some countries, especially China.

In a small office in Hangzhou, China, tech enthusiast Liang Wenfeng harnessed AI models to analyse stock patterns, building a \$13 billion

portfolio for High-Flyer Capital, the quantitative hedge fund he founded in 2016. His deep obsession with AI drove him to acquire around 10,000 Nvidia GPUs—more than most Chinese tech firms had at the time. Wenfeng later stated in a media interview that his massive Nvidia stockpile stemmed purely from curiosity, not business strategy.

Then, in 2022, the Biden administration imposed sanctions restricting GPU exports to China and Russia, citing national security concerns. The ban initially targeted Nvidia's H100, a powerful tensor core GPU for AI training and data analysis, before extending a year later to modified versions like the H800. This escalation made it increasingly difficult for China to compete in the AI race. Wenfeng revealed that High-Flyer Capital never struggled with funding—its real challenge was the embargo on high-end chips.

In 2023, High-Flyer Capital announced the creation of an independent research group dedicated to exploring the essence of artificial general intelligence (AGI) and advancing AI for humanity's benefit. DeepSeek was born—with a mission to democratise AI.

Breaking the cost barriers

Some lament obstacles; others turn them into momentum. DeepSeek chose the latter. No big chips? No problem. Instead, they forged ahead, developing an AI model that performs impressively well on dramatically fewer resources.

In December 2024, DeepSeek released the affordable but efficient